C
Chargeable gains for individuals

The scope and treatment of capital gains

Content

C Chargeable gains for individuals

1. The scope of the taxation of capital gains
2. The basic principles of computing gains and losses

a) Compute and explain the treatment of capital gains.

b) Compute and explain the treatment of capital losses.

1. Scope of capital gains tax

Capital gains tax is paid on the chargeable gain.

Chargeable gain may arise on disposal of qualifying assets by an UK resident.

1. Scope of capital gain tax

1.1 Disposal

- Sale of assets
- Gift of assets
- Loss or destruction of assets (compensation received)

Exempt disposal:

- Transfer of assets on death
- Gift to charities

1. Scope of capital gain tax

1.2 Exempt asset

- UK government gilts
- Premium Bonds
- Investments held in ISAs
- Saving Certificates issued by NS&I Bank
- Cars (suitable for private used)
- Inventories and other current assets
- Qualifying corporate bonds
- Medals awarded for valour or inherited (not if purchased)
- Winnings from pools, lotteries, betting etc.
- Foreign currency (if acquired for private use)

2. Computing a gain or loss

Each disposal of an asset is calculated individually.

	£
Gross proceeds	X
Less: selling costs	(X)
Net proceeds	X
Less: allowable costs	
Original cost	(X)
Costs of purchase	(X)
Capital expenditure	(X)
Chargeable gain/ (allowable loss)	X/(X)

2. Computing a gain or loss

2.1 Gross proceeds

- Sale proceeds received or
- Market value when sale at under value (i.e., not at arm's length) or gift

2.2 Selling costs

- Legal fees, valuation fees and auction fees incurred on disposal.
- Cost of agency and advertisement cost on disposal

2. Computing a gain or loss

2.3 Allowable costs

- Original cost
- Cost of purchase
- Capital expenditure

2.4 Not allowable costs

Revenue expenditures are not allowable：

- Repairs
- Maintenance
- Insurance cost

Lecture example 1

Mr. Fay sells a building on 10 July 2025 for £43,000. The building was purchased on 20 February 1994.

The following cost on this building are as follow:

	£
Original cost	15,000
Auction fee on sale	2,500
Legal fee on sale	500
Insurance cost on 1 May 2025	9,800
Expenditure on extension on 8 August 2018	8,000

Calculate Mr. Fay's chargeable gain.



3. Taxable gain

3.1 Proforma

	£
Chargeable gain	X
Less: Annual exempt amount	(3,000)
Taxable gain	X
Capital gains tax (Taxable gain × Rate%)	X

3. Taxable gain

3.2 Annual exempt amount (AEA)

- Annual exempt amount is £3,000 for the tax year 2025-26.
- Capital gains tax should be paid on capital gain above the annual exempt amount.
- Any unused annual exempt amount for the year is wasted.

4. Capital losses

4.1 Current year capital losses

Current year losses must be offset against current year gains firstly.

Annual exempt amount should be deducted after the set off of current year capital losses.

4.2 Capital losses brought forward from earlier years

Where current losses exceed current gains, the net current loss is carried forward.

Brought forward capital loss is used to offset capital gains after deduction of annual exempt amount.

Lecture example 2

Ted has £18,000 capital losses brought forward from the tax year 2024-25. During tax year 2025-26, Ted sold a land and the chargeable gain is £50,000 on this disposal. He also sold a vase incurred capital loss of £31,000.

Calculate Ted's taxable gain for the tax year 2025-26.



5. Trading loss relief against chargeable gain

Trading loss （25/26）

Current year loss relief : against total income of 2025-26 Net Capital gain of 2025-26

Carry back loss relief : against total income of 2024-25 Net Capital gain of 2025-26

5. Trading loss relief against chargeable gain

	£
Capital gain	X
Less: Current year capital loss	(X)
Net capital gain	A
Less: Trading loss against capital gain	(B)
	X
Less: Annual exempt amount	(3,000)
Less: Capital loss brought forward	(C)
Taxable gain	X

Trading loss against capital gain B is lower of:

- Trading loss - Total income
- A – Total capital loss brought forward

5. Trading loss relief against chargeable gain

纳税人某税务年度产生的资本利得，抵减的顺序总结如下：

I. Current year capital loss

II. Trading loss against capital gain

III. Annual exempt amount

IV. Capital loss brought forward

Lecture example 3

Serena had the following results for the tax year 2025-26：

	£
Trading loss	27,000
Total income	19,500
Capital gains	30,000
Current year capital losses	10,000
Capital losses brought forward	12,000

Serena claims trading loss against capital gain.

Calculate Serena's taxable gain after loss relief and any loss carried forward.

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Quizzes(self-practice)

Quiz 1

Which of the following assets are always fully exempt from Capital Gains Tax (CGT)?

(1) Private residence
(2) Qualifying corporate bonds
(3) Government securities
(4) Chattels

A.1 and 2
B.2 and 3
C.3 and 4
D.4 and 1

Quiz 1-A

The correct answer is **B**.
(2) and (3) are always fully exempt from CGT. A private residence is exempt in most circumstances, but not all, and part of a gain may be chargeable. Only certain chattels are exempt from CGT.

Quiz 2

Noah sold a warehouse on 30 June 2025 for £200,000, and incurred agent's fees on the sale of 5%. He had purchased the warehouse on 1 June 2005 for £120,000, and paid £20,000 for an extension to the warehouse in June 2010.

What is Noah's taxable gain arising on the disposal of the warehouse?

A.£67,000
B.£57,000
C.£50,000
D.£47,000

Quiz 2-A

The correct answer is **D**.

Net proceeds (200,000 × 95%)		190,000
Less: Cost	120,000	
Enhancement expenditure	20,000	(140,000)
Chargeable gain		50,000
Less: AEA		(3,000)
Taxable gain		47,000

Quiz 3

Layla has the following chargeable gains and capital losses for the tax years 2024-25 and 2025-26:

	2024-25	**2025-26**
	£	£
Chargeable gains	12,000	14,000
Capital losses	(23,000)	(2,500)

What loss is available to carry forward to the tax year 2026-27?

A.£0

B.£2,500

C.£14,500

D.£11,500

Quiz 3-A

The correct answer is **B**.

	2024-25	2025-26
	£	£
Chargeable gains	12,000	14,000
Less: current year capital losses	(12,000)	(2,500)
Net gains in the year	0	11,500
Less: AEA	–	(3,000)
		8,500
Capital losses brought forward (balance)	–	(8,500)
Taxable gains	0	0

Quiz 3-A

Loss memorandum:	£
2024-25	23,000
Utilised 2024-25	(12,000)
Utilised 2025-26	(8,500)
Carried forward	2,500



谢谢观看

THANK FOR WATCHING